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Extending AI Agents

MCP Tools vs Agent Skills

When to use what — and why it matters.

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HELLO — I'M

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- 12+ years of experience, 6+ working with AI
- 15+ years volunteering with Pune User Group
- I write about AI × product strategy — for builders and leaders.

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A QUESTION FOR THE ROOM

What **is** an AI agent?

Shout it out. There are no wrong answers — yet.

"A chatbot?"

"Just an LLM?"

"Automation?"

"A prompt wrapper?"

"Something that acts on its own?"

So — what is an AI agent?

Five layers. Every agent you've used has all of them.



Today we go deep on **layer 3** and **layer 4**. Let's watch what breaks without them →

PRD → Jira, with no tools

● ● ● claude code

> Read the PRD in Confluence and
create the Jira tickets for it.

● I don't have access to Confluence or Jira. I can't
read the page or create any tickets. ✗ task
impossible

WATCH FOR

The agent knows what Jira is. It just can't reach it.

This isn't a reasoning failure. It's a **missing capability**. Hold that thought.

MCP — Model Context Protocol

Not a feature. A protocol. The USB-C moment for AI agents.

01

Open standard

Any agent, any tool. MCP defines how agents discover and call external capabilities — regardless of who built them.

02

Runtime access

The agent reaches out to external systems at runtime. It doesn't need to know about the tool at build time.

03

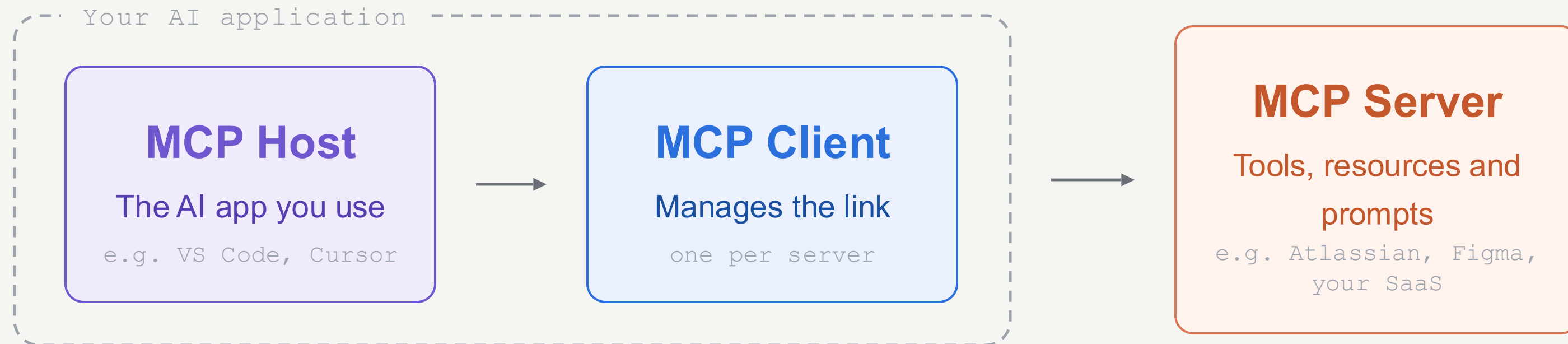
Secure by design

OAuth 2.1 authentication. The agent can only do what the authenticated user is permitted to do.

Agent identifies a need → calls MCP server → gets result → reasons with it

UNDER THE HOOD

How MCP works



KEY INSIGHT · MCP extends what your agent can **do** . Without it, external action is impossible – not just difficult.

Connect MCP, run it again

● ● ● claude code

```
$ claude mcp add atlassian ✓ Connected: Confluence +  
Jira> Read the PRD and create the  
Jira tickets for it.  
● Reading PRD... parsing stories... ✓ Created 7 tickets in  
PROJ
```

WATCH FOR

It works now. Then open the tickets in Jira — really look at them.

Possible — but the tickets are **generic**. No conventions, no structure. That's the next gap.

What MCP just did

The agent went from helpless to capable — by connecting to the right tools.

01

Read the PRD from Confluence

MCP → Atlassian API → page content
returned as structured data

02

Parsed stories & requirements

The LLM reasoned over the returned
content

03

Created Jira tickets via MCP

MCP → Jira API → tickets created in your
project

But notice — the tickets were **generic**. Possible, but not good. That's the next problem.

Agent Skills — SKILL.md

Structured context injection — not code, not a plugin. A file that shapes how your agent thinks.

What a SKILL.md contains

- Ticket title format rules
- Description structure — Story → AC → DoD
- Story-point estimation logic
- Mandatory labels and priority rules
- Team-specific conventions
- What *not* to do

How the agent uses it

- 1 Session starts — CLAUDE.md references SKILL.md
- 2 Skill is loaded — content injected into context
- 3 Agent reads the task — pulls the PRD via MCP
- 4 Skill applied — every ticket follows your conventions

Skills + MCP together: MCP fetches the work, the Skill governs the output.

THE FILE ITSELF

Inside the SKILL.md

● ● ● SKILL.md

```
## Ticket Title Format - Start with a verb: Implement, Add  
- Max 70 characters  
  
## Story Points (Fibonacci) - ML / AI work → always 8 pts  
- UI-only  
→ max 5 pts  
- Never assign 13 — break it down  
  
## Mandatory Labels - Component: frontend | backend | ml-ai  
- Phase: v1 | v2 | spike  
  
## Acceptance Criteria - Given / When / Then format  
- Minimum 3 per ticket
```

Titles

Verb-first, under 70 chars. No more "Search UI redesign."

Points

ML work is always 8. No more inconsistent estimation.

Labels

Every ticket gets a component AND a phase label. No exceptions.

AC format

Given / When / Then — testable, structured, consistent.

Add the SKILL.md, recreate

● ● ● claude code

```
# added .claude/skills/#    jira-tickets/SKILL.md> Recreate  
the tickets using  
    our team conventions.  
● Applying SKILL.md... ✓ 7 tickets — formatted,    pointed,  
labeled, AC added
```

WATCH FOR

Same task. Same MCP. Open the tickets — structure, points, labels, AC.

The only thing that changed is **one markdown file** .
That's the power of a Skill.

What the Skill just did

Same task. Same MCP. Completely different output quality.

WITHOUT SKILL

- ✗ Generic title: "Search UI redesign"
- ✗ Prose description — no structure
- ✗ Story points: blank or random
- ✗ Labels: missing
- ✗ Acceptance criteria: one vague sentence
- ✗ No Definition of Done

WITH SKILL

- ✓ Verb-first title under 70 chars
- ✓ Structured: Story → Reqs → AC → DoD
- ✓ Story points: 8 — ML rule applied
- ✓ Labels: ml-ai + v1
- ✓ Three Given/When/Then criteria
- ✓ Full Definition of Done checklist

The decision framework

One question before you build: does the agent need to **do** something, or **know** something?

	MCP TOOL	AGENT SKILL
Provides	Runtime capability	Behavioural instruction
Use it when	Needs to act on an external system	Needs domain knowledge / conventions
Without it	Task is impossible	Task is wrong
Failure looks like	"I can't access Jira"	"Tickets look generic"
Analogy	Hands	Muscle memory
Lives in	MCP server config	SKILL.md / CLAUDE.md

The decision rule

`IF` the agent can't complete the task → `you need MCP`

`IF` the agent completes it badly → `you need a Skill`

`IF` both of the above → `you need both`

Diagnose by symptom. Fix at the right layer. Most production agents need both.

Three things to take home

01

MCP and Skills live at different layers

MCP is infrastructure — external reach.
Skills are instructions — behaviour. One is the hands, the other is muscle memory.

02

Diagnose failures by symptom

Impossible task → missing MCP. Wrong output → missing Skill. Fix at the right layer — not by switching models or rewriting prompts.

03

Start with Skills, add MCP for reach

A SKILL.md is free and fast to write. Start there. Add MCP only when the agent genuinely needs to act on an external system.

THANK YOU

Let's connect.

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SCAN TO CONNECT

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